

ACCOUNTS RECEIVABLE

AUDIT PROGRAM #52-40-00

The release of this audit program to parties external to IBM requires the written approval of the Chief Auditor.

This program is intended as a guide for assessing risk management in this process through the performance of an audit or a similar engagement. Risk management is the process to identify, manage, and control potential events in order to provide reasonable assurance related to the achievement of IBM's business and control objectives. IBM's control objectives fall into five broad categories:

1. compliance with external laws and regulations, as well as IBM policies and procedures
2. accomplishment of business objectives
3. reliable information for financial reporting and decision making
4. efficient operations, and
5. safeguarding both intellectual and physical assets.

The control assessment questions are intended to address process objectives from the categories above and the risks to achieving those objectives. Objectives and risks in the actual process under review may differ based on organizational, operational, regulatory, and economic factors. As such, individuals performing the engagement must formulate a test strategy based on risks relative to the actual process under review, regardless of whether the risks are identified within this program.

DATE CHANGED	SECTION #	SUBTITLE IN SECTION	CHANGED BY (NAME)	COMMENTS
December 2025	Planning	Reference Material	Dana Wendlova	Updated and added relevant links.
	Process and Objective	Scope Area		Added Data Privacy as a scope area if applicable and the ATL has confirmed PI is applicable to process from a controller or processor perspective.
February 2025	All	All	Don Dobrzelewski	Updated program.
February 2024	All	All	Don Dobrzelewski	Updated program.
February 2023	All	All	CA&AS	Converted from Notes into a Word document and into a Box folder

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PROCESS AND OBJECTIVE

For the purposes of this audit program, Accounts Receivable (AR) is defined as the entire process from preparation of accurate statements of accounts through final customer remittance and clearance from the AR file. The primary elements of this program are:

- Financial Controls and Reporting
- Cash Application
- Collection Program
- File Adjustment Processing
- File Maintenance
- Separation of Duties
- **Data Privacy (If applicable, only consider adding to testing after confirmation in discussions that the unit is a controller or is the processor of PI)**

NOTES:

Note 1: AR audits are performed, in part, by utilizing data analytics tools. See the IA Audit Preparation DB, Fulfillment Program

Note 2: Q2C AR audits - will include Q2C AR. IGF is **not included** for audit periods after the following dates:

- September 2017 in AP (including. GCG), North America and Latin America
- January 2018 in Europe and MEA (date subject to change).

IGF AR will be part of IGF end-to-end audits

- Japan remains the same: IGF AR audit responsibility is already owned by IGF

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PLANNING: Audit Program Risk Alignment

Accounts Receivable

Defined Risk Area	Audit Risk Level	Key Control Question	Test Number
Debt Collection	High	Collection Program Financial Controls and Reporting File Maintenance	AR001.P, AR002P FC001.P FM003.S
Cash Summary (monitoring of cash entry)	High	Cash Application	CA001.P
Cash Administration (cash application activities)	High	Cash Application File Maintenance	CA001.P FM001.S, FM002.S
Delinquent/Distressed Account Management	Medium	Collection Program	AR001.P, AR002P
Dispute Management	Medium	Collection Program File Adjustment Processing	AR001.P, AR002P FA002.P
Pre-legal and Suspense Accounts	Medium	File Adjustment Processing	FA004.S
AR File Adjustments (refunds, write-offs and other adjustments)	Medium	File Adjustment Processing	FA001.P, FA002.P, FA003.S
Late Payment Fees	Low	Collection Program	AR001.P
Separation of Duties	Low	Cash Application Separation Of Duties	CA001.P SD001.P
Business Continuity Plan	Low	Business Continuity Planning	BC001.P

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PLANNING: Data Analysis

Data analysis should be a part of every engagement where data is available in databases or data warehouses that can be accessed through query programs. This concept enhances the risk-based auditing approach, makes the audit process more efficient, and increases the productivity of the audit team. When the audit team does not have the skills required to perform these tasks, assistance should be sought from the Technology team.

All data used for analysis must be reconciled to an independent source so that the auditor has confidence that the universe is complete.

The [Data Analysis engagement procedures in the Audit Manual](#) (link internal to CA&AS members only) provide further suggestions.

This table shows what data can be reviewed and analysis techniques.

Data to be Analyzed	Analysis to be Performed	Possible Anomalies	Concern
Aged Receivables	Collection comments and follow up	Delayed or no collection efforts	-Unauthorized business commitment -Delayed cash flow to IBM
File adjustments including: -bad debt write-offs -small balance write-offs -moving customers to suspense -refunds	-Valid, written justification -Correct approvals, e.g., management, legal (where required)	-Unauthorized transactions -Inappropriate netting of debits and credits -Incorrect billing -Split transactions	-Unauthorized business commitment -Netting fraud -Customer dissatisfaction
Customer Disputes	Dispute registration and follow ups for resolution	-Delayed dispute registration -Delayed or no dispute resolution efforts	-Customer dissatisfaction -Delayed customer payment
Unallocated cash	Timely resolution	-Cash not IBM's -Incorrect or no invoice reference	-Delayed invoice clearing -Customer dissatisfaction

Reports available from the IA Technology team can be found in the IA Audit Preparation database --> Process Data --> By Process --> Fulfillment --> Accounts Receivable --> Worldwide / Available Reports / Accounts Receivable Reports) (access internal to CA&AS organization only)

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PLANNING: Reference Material

Worldwide

1. Link to WW Corporate Instructions to find the CI's below. <https://w3.ibm.com/ibm/corporate-documents/corporate-directives/corporate-instructions>
2. CI FIN 180 IBM's World Wide Payment and Billing Terms - <https://w3.ibm.com/ibm/corporate-documents/fin/fin-180>
3. CI FIN 182 Management Self Assessment of Control - <https://w3.ibm.com/ibm/corporate-documents/fin/fin-182>
4. CI FIN 182 Appendix C - Separation of Duties - <https://w3.ibm.com/w3publisher/financebc/ibm-framework/ci-fin-182-appendix-c>
5. Link to Accounting Policy & Financial Reporting community:
AP CECL 3:
<https://ibm.ent.box.com/s/wqq8h7jf8qvbvekj3qsggh1ziqfjb99g>

AI TRA 03:
<https://ibm.ent.box.com/s/sxz2u9ggrrjrjb60v6p3i3itbge17p>
6. AP AR - Receivables and Contract Assets
<https://ibm.ent.box.com/s/wuc9s0zyiax42h0a6fk4mg07mpwfv6at>
7. Privacy @ IBM
<https://w3.ibm.com/ibm/privacy/>
8. Global AR Publisher - <https://w3.ibm.com/w3publisher/global-ar>
9. Global Business Continuity Management Publisher - <https://w3.ibm.com/w3publisher/global-bcm>
10. CI ET 127 Business Continuity Management - <https://w3.ibm.com/ibm/corporate-documents/et/et-127>
11. Local Common AP Processes:

AP - common AP AR Process

Process documents under revision- Receive from local AR team.

EMEA - Common Europe AR Process

<https://ibm.ent.box.com/file/1544059748537?s=yimg01rcy8pyvmr3ofogl6h1v43i8qpfx>

LA and North America

Process documents under revision- Receive from local AR team.

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PLANNING: Fraud Template

Fraud is any intentional act or omission designed to deceive others and resulting in the victim suffering a loss and/or the perpetrator achieving a gain. Fraud can be categorized into fraudulent financial reporting, misappropriation of assets, and improper or unauthorized expenditures.

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PLANNING: Fraud Template (Continued)

Description of Fraud Risk	Typical Controls That Should Detect the Fraud Risk	Testing Approach
Accounts Receivable		
Days Sales Outstanding misstated (billing time lag)	Management review of billing control reports (pending, installed not billed, shipped but unbilled, aging credits and debits, etc.)	Compare manual invoice date to system invoice date. -Review billing control reports
Manual entries such as journal entries	Management review of documentation supporting the entry	Review entries and approvals, test against process and approvals
Reconciliations not prepared or reviewed	Management review of reconciliations and documentation supporting the reconciliation	Determine what's missing
Unresolved disputes	Management review of customer satisfaction surveys, aging reports, disputes, and actions taken to resolve the disputes	Sample aged AR, review customer satisfaction and complaints, etc.
Aged AR	Management review of aged AR and evidence of actions taken to resolve	Research to find out why and what actions were taken to resolve
No or incomplete SoD	Annual review and sign-off of SoD assessments, assurance that all job roles / categories / employees are identified, deployment of secondary controls to mitigate any identified conflicts	Review SoD analysis against CI FIN 182
Credits netted with charges	Review sampling of customer remittance advice vs. what was cleared from the AR file and debits cleared by credits.	Look at deep detail within invoice record

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PLANNING: Fraud Template (Continued)

Description of Fraud Risk	Typical Controls That Should Detect the Fraud Risk	Testing Approach
Cash Collection		
Delays applying cash	Management review of aging / resolution of prepayments and unrelated cash transactions	Compare billings with AR and cash collection.
Accidental or deliberate errors in applying cash		Compare cash application with billing, review contractual billing requirements
"Pending" balances not resolved		Research to find out why it's pending and what actions were taken to resolve
Misdirected refunds		Test refunds to determine whether any returned refunds didn't arrive
No or incomplete SoD	Annual review and sign-off of SoD assessments, assurance that all job roles / categories / employees are identified, deployment of secondary controls to mitigate any identified conflicts	Review SoD analysis against CI FIN 182
Corruption		
Said account was collected when it wasn't or stole cash Says cash was received when it wasn't (personal gain)	Management review of disputes where customer has indicated that the invoice(s) were paid and cash receipt logs and application	Review entire file of transaction looking for notes or correspondence suggesting gain. Consult with CA&AS management, determine whether to refer to Investigations.

Note: The probability and impact will vary depending on the organization/business unit that is being audited.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Financial Controls and Reporting

Objective:

Are the financial controls for AR activity adequate, including the appropriate placement of checks and balances throughout the process? Is there sufficient management involvement within the key control points and activities? Are the monitoring and control functions surfacing exception conditions and initiating appropriate corrective action?

Risk/Exposure:

If the system of financial controls and reporting fails, the following exposures could occur: fraud may be perpetrated and corporate cash flow may be diminished due to reduced receipts. In addition, if established guidelines are not enforced, customer satisfaction could diminish, and the corporation could be exposed to potential litigation associated with questionable business practices.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Financial Controls and Reporting

Primary Test: Financial Controls and Reporting (FC001.P)

Note: If there are large volumes of write-offs or disputes, determine if volumes are due to poor collection efforts and consult with the audit manager to determine if secondary tests should be performed to assess revenue recognition implications. If secondary testing of Revenue Recognition or Revenue and Cost Accruals are necessary, please refer to the Revenue Recognition and Cost Accruals tests in the Fulfillment audit program.

Objective:

To determine if the financial controls for AR activity are adequate to ensure the appropriate placement of checks and balances throughout the process.

Approach:

- Review financial statements and general ledgers to determine if they are properly supported, reconciled monthly, and reviewed and approved by management. Note: *Reconciliation of AR ending balance versus AR system of record is not being done by AR as well as the reconciliation of data flow from the various systems flow to AR system of record then to Ledger.*
- Review journal transactions affecting AR for validity and proper authorization. Ensure all credits and debits are AR related.
- Review financial measurements for timely visibility to areas which require management attention. Ensure all financial adjustments are valid.
- Interview the country tax manager to identify any concerns from tax perspective including bad debt concerns in the tax processes.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Financial Controls and Reporting

Primary Test: Measurements (FC002.P)

Objective:

Are measurements in place to provide management with visibility of operational efficiency? Are exception conditions identified, reported, and properly handled?

Approach:

- Do measurements exist to gauge operational efficiency and process exceptions? Are measurements appropriately inclusive of activities within the organization?
- Is there management visibility to all measurements and exception activity?

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 2. Cash Application

Objective:

Are there adequate controls throughout the cash application process to ensure that all funds received are deposited to the company's accounts and that the accounts receivable and ledger records are updated accurately and timely?

Risk/Exposure:

Inadequate or poorly performed cash application tasks could permit fraudulent activity to occur. Insufficient separation of duties is a condition which would increase this potential. In addition, erroneous or delayed application could cause customer dissatisfaction and increase reported delinquency. Also, delayed or inaccurate reconciliations of bank deposits and ledger balances could result in a misstated financial position.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 2. Cash Application

Primary Test: Cash Application (CA001.P)

Objective:

To determine if there are adequate controls throughout the cash application process to ensure that all funds received are deposited to the company's accounts and that A/R records are updated accurately and timely.

Approach:

Note: Cash application is the process in which customer payments for IBM products or services are received at a specified lockbox address and applied and reconciled to AR invoices. For IBM North America, cash application personnel are located in Guadalajara. Payments are received at the lockbox in the form of checks, Electronic Data Interchange (EDI) payments, or wire transfers. The customer remittance advice specifies the invoice(s) to be paid. Direct matches of payment(s) to invoice(s) result in clearing the open AR file. Any variances or partial payments are identified and posted to the AR File (IE Customer Collection System (CCS), GCARS, iERP, etc.) by cash application personnel for reconciliation by AR customer fulfillment employees. Other related cash application sub-processes are the credit card process, returned check process, and exception control log process.

- Review the cash application process for required management reviews, approvals and documentation. Ensure there is evidence of management visibility throughout the cash application process.
- Review the management check certification process for verification of accurate application and deposit of checks received.
- Review the procedures for daily reconciliation of checks received vs cash application summaries, bank deposits, and bank deposit verifications to determine that an in-balance situation exists. Ensure variances are documented with valid explanations and reviewed by management.
- Utilizing the AR system and customer remittance detail, review a selected sample of cash transactions to test for proper application. For lockbox locations, test the process to perform maintenance on the House Account to determine if adjustments are processed timely and according to customer intent. Are there any indications of improper applications?
- Are there AR daily activity reports to identify transactions with potential exposure to misapplication or improprieties? Are they appropriately reviewed by management, if required?
- If electronic transfers are used for payments, review the entire receipt and/or deposit process for accurate application of customer payments.
- Examine the process used when the cash applier cannot determine which invoice(s) a payment is intended to clear. Assess the process and controls to ensure proper resolution.
- Review the process for monthly bank reconciliations to ensure that accounts are in balance or that variances are properly documented and resolved.
- Review the process to control returned check activity to determine if debits are reinstated to the customer's account timely, and checks are promptly returned to the customer. Review at least one month's activity.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 2. Cash Application

Primary Test: Cash Application (CA001.P)

(Continued)

- Perform a security audit of the cash application location after normal working hours in the presence of management.
- Review controls over access to collection systems and ensure that all access is approved by immediate management. Also, ensure that there is adequate management approval of information input.
- Review the individual responsibilities and system capabilities to determine if separation of duties conflicts exist and if conflicts exist, determine if secondary controls are in place to monitor.

CASH SALES/BLANK INVOICE CONTROL (if applicable in the Geo)

- Identify all sources of cash sales invoicing, i.e., over-the-counter invoices (OCI), direct customer invoices (DCI), and cash on delivery (COD) sales. Ensure that all invoices are controlled and can be accounted for.
 - Review the controls over cash transactions to determine if they are adequate to ensure accountability and prompt deposit.
 - Determine if all invoices used are sequentially numbered.
 - Ensure that invoices are properly secured when not disbursed or in use, i.e., under lock and key.
 - Ensure that sequential control logs are established and reviewed to determine if all outstanding invoices and cash sale books are minimized and can be located.
 - Review the controls in place to ensure that the location can account for all shipments of cash receipt book orders and blank invoices.
 - Determine if sequentially missing or unprocessed invoices can be identified and accounted for.
 - Examine the file of voided and canceled invoices to ensure that misuse is prevented.
 - Review the process for distributing cash receipts to customers and ensure that all receipts used are sequentially pre-numbered.
 - Determine if sequentially missing or unused cash receipts can be identified and accounted for.
 - Review the cash sale account to determine if transactions are current on the AR file. If not, tests should be made to determine reasons, i.e., delayed file maintenance debits and/or payments appearing in two different accounts, or delayed receipt and recording of cash receipts.

ACCOUNTS RECEIVABLE/CUSTOMER MASTER RECORD ACCESS

- Determine if there are employees who have access to both the AR file and the customer master records. If yes, ensure that management controls are in place to approve daily activity reports relative to changes made to the customer master records.
- Ensure that changes made to the customer master records are supported by documented and approved reasons.
- Review unexplained and/or undocumented changes to the customer master records to determine if management is investigating these transactions on a timely basis.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 3. Collection Program

Objective:

Is there an established collection program? Is it effective and conducive to a controlled environment? Are refunds, credits, and file adjustments properly managed, ensuring a timely and accurate resolution of exception activity?

Risk/Exposure:

The lack of an effective collection program directly impacts the corporation's profitability and cash flow. Delayed processing of customer refunds and credits would cause overstatement of corporate assets and impair customer satisfaction.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 3. Collection Program

Primary Test: Collection Measurements and Reporting (AR001.P)

Objective:

Verify that an effective documented collection program is in place to ensure monthly targets are achieved.

Approach:

Review the key measurements ratio of delinquent dollars to billings, ratio of over 90 days dollars to billings, ratio of write-offs to billings, etc., and if an acceptable level of risk is indicated, no further testing is required for the collection program. If a negative trend exists, perform secondary testing.

NOTE: In IBM NA, the decision of negative trends should be established by reviewing total NA performance and performance by collection location. If the engagement is a National audit and NA's trend is positive, then secondary testing would be performed for activity in the locations / sites where performance trends are negative.

- Review objective attainment vs. plan for the audit period.
- Compare the actual attainments to the objectives for monthly and year-to-date achievements.
- In reviewing measurement performance, consider the following:
 - Days Sales Outstanding calculation should include un-billed AR and advance billings.
Note: DSO is not an AR owned measurement and thereby details about DSO calculation can only be provided with support from Treasury and Finance.
 - Credit/rebilled invoices should be reviewed to determine their effect on AR aging measurement. Note: rebilled invoices usually carry a new date and not the date of the original invoice. If negative trends exist, perform secondary testing.

In addition, the following should be reviewed:

- If post-dated checks are accepted, these should be reviewed to ensure that checks are deposited on the agreed date, not "rolled-over", and that invoices are not credited and rebilled pending receipt of another post-dated check. Care should be taken to ensure post-dated checks are not used to manipulate AR performance.
- In areas where promissory notes are used to back-up installment payments, ensure that when payments are received, they are promptly deposited, and the associated promissory notes are returned to the customer. If promissory notes are utilized for installment payments, select a sample of delinquent (30 days and older) installment payments that are supported by promissory notes and ensure payments have not been received and misappropriated.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 3. Collection Program

Primary Test: Top Delinquent Accounts (AR002.P)

Objective:

To determine if a documented collection program is in place to prevent delinquent receivables. The overall objective is to assess the effectiveness of the collection program, determine the validity of refunds and file adjustments, and ensure timely resolution of exception activity and escalation of collection issues.

Approach:

- Request a report for the Top 100 delinquent accounts. Select a random sample for review.
- Using the AR collection system and any additional documentation provided by the location, review the sample accounts.
- Review open items to determine if there is evidence of a timely initial contact and on-going communication with the customer. Additionally, check for evidence of problem identification, proper escalation, and resolution. For delinquent items that have cleared, review to ensure these items were properly cleared from the file.
- Test the aging of rebilled invoices, unrelated credits, advance or escrow payments, and credit balance accounts. If invoices are credited and rebilled, ensure that the rebilling was not done to alter the aging of the invoice. The impact of credits and credit balance accounts to the AR balance and AR performance against target should be assessed.
- What controls are used to identify and resolve errors that resulted in customer non-payment?
- Review recurring small/zero balance write-offs to determine if all activity was appropriate, and that "netting" has not occurred.
- As appropriate for the geography, determine the following:
 - Are all delinquent customers receiving monthly statements of account? If suppressed, is there an effective alternate method used to convey account status?
 - What are the controls to ensure that installment payment plan receivables are properly controlled, e.g., supported by agreements, down payment requirements, etc.?
 - Have statements been filed with local regulatory agencies to protect IBM's interest on equipment on installment payment plans?
 - Review unresolved items for appropriate escalation procedures.
 - Review paid history for the selected accounts to determine if excessive write-off or bank adjustment activity has occurred.
 - Are customers with bad-debt histories placed on a cash-on-delivery (COD) status?
 - Determine if delinquent accounts referred to outside collection firms are monitored and follow-up activity performed.
 - Ensure compliance to local procedures or current IBM guidelines.
 - Are amounts due to IBM collected in line with either standard payment terms or approved contract payment terms?
 - Are any deviations which may result in formal or informal agreements with customers to reschedule payments reviewed and approved by management, including contracts and negotiations, legal, and finance?
 - Are amounts collected in the currency specified in the contract?

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 4. File Adjustment Processing

Objective:

Are file adjustments properly approved, justified, and processed in accordance with control procedures of the operating unit?

Risk/Exposure:

Modification or adjustment of file data without appropriate approval or control could conceal fraudulent activity to the detriment of both corporate assets (erroneous bank, expense, write-off, and refund transactions) and customers (non-receipt of refunds or credits processed).

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 4. File Adjustment Processing

Primary Test: Refunds (FA001.P)

Note: For purchase order driven customers in NA, refunds are permitted when outstanding delinquency exists. Collection efforts to resolve this delinquency should be thoroughly pursued and documented.

Objective:

To determine if there are adequate procedures in place for processing refund activity timely and accurately and ensuring all required documentation and approvals are obtained. Ensure management has a local procedure in place which allows for retrieval of AR file adjustment activity and required documentation, incorporating appropriate levels of management approval.

Approach:

- Request a report listing of all refund activity for the period to be reviewed. Select a sample of transactions to be reviewed.
- Request all Electronic Check Requests (ECRs) submitted by CF centers. Select a sample of transactions to ensure that refund transactions had been appropriately processed, justified, and approved. Note in US only; Select Accounts Receivable Financial Adjustment Transactions (ARFAT) had been appropriately processed, justified, and approved. (Specific ARFAT name is Reimburse Cash Fund for Local Check - RFFC.)
- Review refund transactions utilizing AR system remarks and accounts receivable file adjustment activity noting required customer authorization and management approvals.
- If the account is delinquent at the time of the refund, determine if reasonable effort was made to either obtain payment or customer agreement to apply the credit to open receivables.
- Request all supporting documentation for local refund activity (including copies of the refund checks). Ensure all required documentation is available.
- If the system allows the changing of the address in the refund transaction, determine if management has visibility to these changes and that address changes are supported. Select a sample to validate address change.
- Ensure compliance to local procedures or current IBM guidelines.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 4. File Adjustment Processing

Primary Test: Write-offs (FA002.P)

Objective:

To determine if there are adequate procedures in place, both collection and escalation, prior to processing write-off activity (small balance, concessions, and bad debt). Ensure management has a local procedure which allows for the retrieval of accounts receivable file adjustment activity and required documentation incorporating appropriate levels of management approval.

Approach:

- Perform the following for bad debt and concession write-offs:
 - Request a report of bad debt and concession write-off activity for the audit period. Review the report to determine the dollar values and volumes of transactions processed during the audit period.
 - If minimal activity (relative to total receivables) exists in these areas, further testing is not required. If high volumes of write-offs have occurred (dollar volumes and/or transactions), perform secondary tests.
- In addition, for small / zero balance write-off activity, determine if management has a process to review these transactions to ensure activity is appropriate.
- Perform an analysis to assess the level of small / zero balance activity by processor and by customer. If there is recurring activity, make a determination if additional testing is required. If additional testing is performed, determine if split-credits used in small/zero balance activity are in line with customer requests.
- Were tax ramifications evaluated during the write-off process, and write-off details provided timely to tax for appropriate handling on applicable tax returns?

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 4. File Adjustment Processing

Secondary Test: Code Current (FA003.S)

Objective:

To determine the validity of coded current activity to ensure appropriate use. Also, to determine if a procedure is in place to review AR file adjustment activity and ensure required documentation is maintained and appropriate levels of management approval are secured.

Approach:

- If the trend indicates an acceptable level of risk, no further testing is required. If a negative trend exists, perform this test for code current activity.

NOTE: In IBM NA, the decision of negative trends should be established by reviewing total NA performance and performance by collection location. If NA's trend is positive, then secondary testing would be performed for activity in the areas where performance trends were negative.

- Complete the following if coded current billing exists:
 - Request a listing of all invoices coded current. Utilize the AR system and other supporting documentation provided by the location to review the invoices and accounts in a coded current status.
 - Determine if the billings released and coded current follow the IBM guidelines for revenue recognition.
 - Ensure the status is valid, and that current IBM procedures and guidelines for code current transactions are being adhered to.
 - Review invoices and accounts that have been coded current over six months to ensure that required approval is documented.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 4. File Adjustment Processing

Secondary Test: Suspense (FA004.S)

Objective:

To determine if local management has an established process to place accounts in suspense and ensure that these accounts are reviewed and resolved promptly. Also, to determine if procedures require review of AR file adjustment transaction activity and ensure required documentation is maintained and appropriate levels of management approval are secured.

Approach:

- Obtain a detail report of all customer accounts in suspense.
- Request a copy of the local process documentation. Ensure that accounts are checked for validity when placed in suspense and brought to conclusion (written down, written off, removed from suspense) timely when a decision on the legal action or bankruptcy is made.
- Review accounts transferred to suspense to ensure they have been coded cash-on-delivery (COD).

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 5. File Maintenance

Objective:

Are the controls assuring timely resolution of exception type payments such as unrelated, partial, or prepayment items effective?

Risk/Exposure:

If controls are not accurate, timely, and effective, customer satisfaction could diminish. Incorrect payments may be indicative of a billing problem requiring resolution. In addition, delays in this area would also indicate a general overstatement of AR. In particular, AR delinquency would be misstated, affecting the achievement of established objectives and consequently, sales compensation.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 5. File Maintenance

Secondary Test: Prepayments (FM001.S)

Objective:

To determine if adequate procedures are in place to ensure customers prepayments were applied accurately and timely according to customer intent.

Approach:

- If an acceptable level of aged prepayment items is evident, no further testing is required. If a negative trend exists, complete the remaining steps in this test area.

NOTE: In IBM NA, the decision of negative trends should be established by reviewing total NA performance and performance by collection location. If NA's trend is positive, then secondary testing would be performed for activity in the areas where performance trends were negative.

- Request a report of all prepayments on file at the time of audit. Request an additional report of all items aged 60 days or more. Select a sample of items from this report for review.
- Review prepayments using the AR system and additional documentation provided by the location. Prepayments should reflect pending billing.
- Determine the control procedures to ensure that timely billing will occur for customer prepayments and ensure there has been adherence to the procedures.
 - For cleared items, determine if appropriately cleared.
 - For items that remain open, determine the reason the payment remains on account, noting timeliness of action taken to resolve.
- Ensure compliance to local procedures or current IBM guidelines.

ACCOUNTS RECEIVABLE AUDIT PROGRAM #52-40-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 5. File Maintenance

Secondary Test: Unrelated and Unapplied Cash (FM002.S)

Objective:

To determine if adequate procedures are in place to ensure unrelated or unapplied cash activity is resolved accurately and timely according to customer request.

Approach:

- If an acceptable level of aged unrelated items is evident, no further testing is required. If a negative trend exists, continue with this test.

NOTE: In IBM NA, the decision of negative trends should be established by reviewing total NA performance and performance by collection location. If NA's trend is positive, then secondary testing would be performed for activity in the areas where performance trends were negative.

- Review the resolution of unapplied and unrelated cash to ensure customers' payments were not misapplied and ensure that "netting" has not been performed.
- Request a report for unrelated payments as of the audit. Select a sample for review utilizing a random sample selection or a minimum dollar value of the unrelated payments.
- Utilizing the AR system and other documentation provided by the location, review the unrelated items selected.
- For open items, determine the reason the payment remains on account noting timeliness of initial and follow-up action taken to resolve.
- Ensure compliance to local procedures and current IBM guidelines.

ACCOUNTS RECEIVABLE AUDIT PROGRAM #52-40-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 5. File Maintenance

Secondary Test: Aged Items (FM003.S)

Objective:

To determine if an adequate process is in place to prevent items from becoming aged.

Approach:

- If an acceptable level of aged items is evident, no further testing is required. If a negative trend exists, continue with this test.

NOTE: In IBM NA, the decision of negative trends should be established by reviewing total NA performance and performance by collection location. If NA's trend is positive, then secondary testing would be performed for activity in the areas where performance trends were negative.

- To complete this test:
 - Request a report of all aged debits 180+ days old and a report of all aged credits 180+ days old.
 - Select a sample for review utilizing a minimum dollar value based on the size and value of the file.
 - Review the items selected utilizing the AR system and other supporting documentation provided by the location.
 - Review collection remarks and escalation action taken to determine if adequate activity has occurred to establish a date of resolution.
- Ensure compliance to local procedures and current IBM guidelines.

ACCOUNTS RECEIVABLE AUDIT PROGRAM #52-40-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 6. Separation of Duties

Objective:

Are responsibilities segregated such that no one individual has responsibilities that would allow them to circumvent the system of controls?

Risk/Exposure:

An individual with responsibilities which would permit the initiation and concealment of irregular activity, without detection, would cause an exposure to IBM.

ACCOUNTS RECEIVABLE AUDIT PROGRAM #52-40-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 6. Separation of Duties

Primary Test: Separation of Duties (SD001.P)

Objective:

To ensure no one individual has responsibilities that would allow him or her to circumvent the system of controls.

Approach:

- Request an organization chart listing all responsibilities of each employee to determine if any separation of duties (SOD) exposures exist.
- Review the process for separating job roles/tasks for assurance to IBM SOD guidelines.
- If the organization utilizes an SOD assessment, request it and determine if conflicts have been identified and secondary controls or risk acceptances established, as appropriate.
 - Request evidence of the annual independent review and approval of the SOD assessment.
- Where they exist, review system access conflict reports for the AR, customer master record, and order processing applications to determine that appropriate management has reviewed and corrected any area of conflicts.
- Employees with cash application capability should not have:
 - Capability to process bank adjustments, create billing, issue credits or change or create customer master records.
 - Responsibility to reconcile bank accounts.
 - Access to unendorsed checks.
 - Accounts Payable processing capabilities/responsibilities.
 - Access to inventories of blank checks or other invoice documents.
- Employees with cash collection responsibility should not have access to inventories of blank invoices or other invoices and receipt documents.
- Employees who balance the daily cash receipt should not have the responsibility for recording the receipt and application of cash.
- Employees who order cash receipt books or blank invoices should not have disbursement control responsibility.

ACCOUNTS RECEIVABLE AUDIT PROGRAM #52-40-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 7. Business Continuity Planning

Objective:

To determine if process owners have developed, reviewed, and tested business continuity plans (BCP) so that in the event of natural or man-made disasters, pre-defined plans can be executed to maintain business operations.

Risk/Exposure:

Any material disruption of business operations due to natural or man-made disasters can lead to significant financial loss not only to IBM but potentially also for IBM's customers. Many business processes have been centralized, and often operations are conducted in locations which may be susceptible to business disruption. As a result, it is important that business and process owners have developed plans to maintain continuity of business operations in those centralized operations.

ACCOUNTS RECEIVABLE

AUDIT PROGRAM #52-40-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 7. Business Continuity Planning

Primary Test: Business Continuity Planning (BC001.P)

Note: Business continuity risks become increasingly important in the environment where there are centers of excellence and multiple countries are supported by one center. This should, therefore, be an important test and considered primary in that environment. IT testing for disaster recovery is handled by the IT audit teams.

You should refer to Business Continuity Planning Corporate Guidelines in the reference section of this audit program, in support of your review.

Objective:

To determine if process owners have developed, reviewed, and tested business continuity plans (BCP) so that in the event of natural or man-made disasters, pre-defined plans can be executed to maintain business operations.

Approach:

A guideline has been put in place for process owners providing guidance on BCP. It should be noted by the audit team that this is a guideline rather than a specific instruction. However, it will act as a guide for you to understand whether key risks have adequately been considered for BCP and enable you to make an informed judgement regarding the risk mitigation in place. Different processes will have their own unique risk profiles regarding the probability and impact of an interruption to business operations. For example, the probability and impact of a business interruption for a process which has been centralized for multiple countries in a location with less developed infrastructure is likely greater than that of a process supporting only a single country in location with robust infrastructure. As such, auditor judgment will be required to determine how important BCP is for a particular process, as well as to determine the reasonableness of any plans that have been designed by the process owners.

- In the Initial Data Request, ask the process owner to confirm what plans have been implemented to ensure business continuity in the event of a natural or man-made disaster. Review that non-IT process elements have been adequately considered in the BCP.

The following list of questions has been designed based on the Business Continuity Planning Corporate Guidelines:

- Has management assessed the risk to business continuity (BC) and identified the key business processes and activities that require formal business continuity planning based on impact to the business.
 - Identification and prioritization of business processes' activities in addition to prioritization done through by the Enterprise Process Owner (level 3 plans).
 - Understanding and documentation of the potential impact (financial, operational and reputation) to IBM from business disruptions from uncontrolled, non-specific events.
 - Identification of the legal and regulatory requirements for the institution's business functions and processes.
 - Review and approval from senior management.

ACCOUNTS RECEIVABLE

AUDIT PROGRAM #52-40-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 7. Business Continuity Planning

Primary Test: Business Continuity Planning (BC001.P)

(Continued)

- For critical business areas and processes, has the maximum acceptable outage (MAO) been established and considered in the BCP?
 - Estimation of MAO, based on the “acceptable level” of losses, associated with the institution's business functions and processes
 - Estimation of recovery time objectives (RTOs), recovery point objectives (RPOs), and Maximum Tolerable Downtime (MTD) of applications and supporting technology required for business operations.
 - If applicable, recommended critical path recovery order.
 - Reconciled with agreed IT recovery priorities (Business Criticality Values, RTO/MTD).
- For business areas and processes where there is a BC risk, has the BCP been created, reviewed, and approved by management?
 - The organization shall establish documented procedures for responding to a disruptive incident and how it will continue or recover its activities within a predetermined time frame.
 - Top management shall review the organization's Business Continuity Management System (BCMS), at planned intervals, to ensure its continuing suitability, adequacy and effectiveness.
- Does the BCP document the specific continuity and recovery actions for all four impact scenarios (workforce, workplace, IT, and regional) that will need to take place to mitigate risk to the business if the impact lasts longer than the documented business' MAO?
 - Flexible to respond to unanticipated threat scenarios and changing internal conditions.
 - Focused on the impact of various threats that could potentially disrupt operations rather than on specific events.
 - Effective in minimizing service disruptions and financial loss through the implementation of mitigation strategies.
- Does the BCP clearly identify dependencies such as site resources, IT, suppliers, process interdependencies, partners, non-IT services and been reviewed and synchronized with the appropriate crisis management team?
 - An effective BCP coordinates across its many components, identifies potential process or system dependencies, and mitigates the risks from interdependencies.
- Is there an established, management endorsed BC team to oversee the maintenance, invocation, and execution of the BCP?
 - Defined roles and responsibilities for people and teams having authority throughout an incident.
 - Additional teams, as necessary, to facilitate recovery execution per the chosen strategy.
- Are personnel aware and educated on the plan, strategy, and roles?
 - BC training should be an integral part of the BCMS.
 - Comprehensive training program should be developed for all employees, conducted at least annually, and kept up to date to ensure that everyone understands their current role in the overall recovery process.
 - An audit trail should be maintained to document management's training efforts.

ACCOUNTS RECEIVABLE

AUDIT PROGRAM #52-40-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 7. Business Continuity Planning

Primary Test: Business Continuity Planning (BC001.P)

(Continued)

- Is there a regularly executed process for validating the BCP through tests including key elements such as people, technology (data, systems, applications, and telecommunications), and locations that house staff and technology to ensure fit for purpose and alignment with current risks?
 - Tests should be based on appropriate scenarios that are well planned with clearly defined aims and objectives that promote continual improvement.
 - Produce formalized post-exercise reports that contain outcomes, recommendations, and actions to implement improvements and are reviewed with management.
 - Tests are conducted at planned intervals and when there are significant changes within the organization or to the environment in which it operates.
- FOR COMMERCIAL CONTRACTS: Where IBM has customer contracts including business continuity planning, have BCP been implemented in accordance with contractual obligations?

FOR CUSTOMERS WITH REGULATORY REQUIREMENTS: Does the BCP accommodate and account for any unique rigor or accommodations for the regulatory body?

- Adherence with contractual obligations contained in the IBM Responsibilities section of the Schedule or similar agreement. Including communication, recovery parameters, specialized technical designs.
- Special considerations to meet unique regulatory requirements, e.g., in the US, "HIPAA" (for healthcare) has unique wording on backup, protection, and availability of data).